

Unit 11**Globalization****Structure:**

- 11.1 Introduction
 - Objectives
- 11.2 Meaning of Globalization
 - Features of Globalization
 - Essential conditions of Globalization
 - Benefits of Globalization
 - Cases against Globalization
- 11.3 Future of Globalization
 - Globalization in India
 - Achievements in India
- 11.4 Organisations to facilitate globalization
 - The International Monetary Fund
 - The World Bank
 - The World Trade Organization
- 11.5 Summary
- 11.6 Glossary
- 11.7 Terminal Questions
- 11.8 Answers

11.1 Introduction

In the previous unit you studied about privatization and disinvestment. While the Congress-I government initiated the process of economic reforms with an emphasis on privatization, the BJP and NDA (National Democratic Alliance) governments, carried forward this process more rigorously. In the process, the country had to pay enormous costs to meet the budget deficits by sacrificing healthy PSUs, and even the Navaratnas were not spared. In fact, all three processes of Liberalization, Privatization, and Globalization are interrelated as globalization reinforces liberalization and privatization. The basic distinction is that while globalization is not time bound, the other two can occur in a time-bound manner.

One of the best ways to improve any company's performance is to go global. Going global means, becoming a transnational corporation which looks at the whole world as one market. It manufactures, conducts research,

raises capital and buys supplies wherever it finds the best bargain. National boundaries and regulations no longer create any hindrances. A global company has the ability to compete in any market it chooses. It takes into account the needs, preferences and culture of the foreign land and adapts its products and programmes accordingly. It builds cost advantage through global scale operations and survivability in the market place.

Objectives:

After studying this unit you will be able to:

- explain the significance of globalization.
- assess the effects of globalization.
- list the measures taken by the Indian government towards globalization.
- recognize the effects of globalization on Indian economy.

11.2 Meaning of Globalization

Globalization is a process of development of the world into a single integrated economic unit. It describes the process by which regional economies, societies and cultures have been integrated through a global network. This network becomes stronger through communication, transportation and trade. The term is closely associated with the term economic globalization. Economic globalization is the integration of national economies into international economy through trade, foreign direct investment, capital flows, migration, the spread of technology and military presence. In the Indian context, it implies opening up of the economy to foreign direct investments by providing required facilities, allowing Indian companies to enter into joint ventures and foreign collaborations, bringing down restrictions on foreign trade, diluting the role of public sector and encouraging privatization and so on. Globalization got the real thrust from the new economic policy of 1991 in India and it was further pushed forward by the coming up of the World Trade Organization (WTO). It would eventually mean ability to manufacture in the most cost effective way anywhere in the world. Thus it is a process of deepening economic integration, increasing economic openness and growing interdependence between countries. As a result of globalization efforts taken by India, our markets are flooded with all types of goods like, automobiles of all leading brands in the world, globally available electronic items, Intel's Pentium, computer hardware of established brands, household goods of all makes,

Lee Cooper Shoes, Reebok T-shirts, Rayban sunglasses, Coca-Cola, Pepsi, etc. In short, our markets now have almost everything that one can get in any developed countries.

11.2.1 Features of Globalization

Globalization includes the following features:

- Erasing the differences and boundaries between domestic and foreign markets.
- Operating the business throughout the world.
- Buying and selling goods and services from/to any country in the world.
- Closer contact between different parts of the world with increasing possibilities of personal exchange, mutual understanding and friendship.
- There are four aspects of economic globalization. They are free trade, flow of people (migration), free movement of capital and technology.
- Product planning and development are based on the market consideration of the entire world.
- Sourcing of factors of production and inputs like raw materials, machinery, finance, technology, human resources and managerial skills from the entire globe.
- Setting the mind to view the entire world as a single market.

11.2.2 Essential Conditions for Globalization

Globalization is possible under the following conditions.

- a) Government Support:** Unnecessary government restrictions like import restrictions or restrictions on foreign investments come in the way of globalization. Government support can encourage globalization. Government support can take the form of policy reforms, infrastructural facilities, development of financial resources and so on.
- b) Resources:** Resources is one of the important factors which often decide the ability of a firm to globalize. Resourceful companies may find it easier to thrust ahead in the global market. Resources include, finance, technology, managerial expertise, brand image and human resources. It should therefore be noted that many small firms have been very successful in international business because of one or the other advantage they possess.

- c) **Competitiveness:** A firm may derive competitive advantage in one or more of the following factors: These factors include, low cost and price, product quality, product differentiation, marketing strategy, brand image, technological superiority, after sale services, and so on. Companies having these competitive advantages succeed in global business.
- d) **Orientation:** A global orientation on the part of the business firms and suitable globalization strategies are essential for globalization.

11.2.3 Benefits of Globalization

Globalization has several advantages for a firm. They are as follows:

- a) **Increased competition:** With the entry of foreign competition and removal of tariff barriers, domestic industry will be forced to reduce prices and improve quality of production. As the domestic companies have to fight out foreign competition, they are compelled to raise their standards and customer satisfaction levels in order to survive in the market. Besides, when a global brand enters a new country, it creates competition in the market and a 'Survival of the fittest' situation arises in the domestic market.
- b) **Generation of employment:** Along with globalization, foreign companies have entered into the developing countries, and hence have generated employment for them. It has given an opportunity to tap the talents which are available there. In developing countries, there is often a lack of capital which hinders the growth of domestic companies and hence, employment. When this capital is provided by foreign companies, people of developing countries can obtain gainful employment opportunities.
- c) **Foreign trade:** Comparative advantage has always been a factor even in old times. While trade originated in the times of early kingdoms, it has been promoted due to globalization. Previously, people had to resort to unfair means and destructions of kingdoms and countries to get what they wanted. Today, it is done in a more humane way, with mutual co-operation. WTO and other international organizations have been established with a view to controlling and regulating the trade activities of the countries.
- d) **Spread of Technical Knowledge:** Due to stronger political ties, there is a flow of information both ways. Innovations which happen in the

Western world, come to developing countries due to globalization. In addition to spread of technical knowledge, it has also expanded economic and political knowledge. The most obvious example of spread of knowledge is that the Western world today is waking up to the benefits of Ayurveda and Yoga, while the Western antibiotics are flooding the Indian markets improving longevity of people in India.

- e) **Foreign capital flows and investment:** One of the most visible effects of globalisation is the flow of foreign capital. A lot of companies have directly invested in India and a lot of Indian companies are operating off shore. Foreign capital is being utilized by local skills and raw materials which results in manifold increase of production. Sometimes companies produce different components or different portions of their product line in different parts of the world to take advantage of low labour costs, capital, and raw materials. This is called rationalized production. In a new, global world, rationalized production is easier. Now organizations can outsource or can establish their own production units in those areas where it is more economical. For example, today, the Japanese are selling their cars made in America to American consumers, while Americans are selling American cars made in Japan. Asia manufactures sports shoes for all the major shoe manufacturers. After Liberalization in the economies of India and China, a great shift in location is going on, for labour-intensive operations in these locations.
- f) **Outsourcing and Sub-contracting Advantages:** Globalization provides many sourcing advantages. They can outsource technology, distribution and even consumer research. The companies also negotiate sub-contracting arrangements which enhance operational efficiency and help in compressing costs. Due to these advantages, international outsourcing and sub-contracting has been on the rise in recent years.
- g) **International Economic Co-operation:** Globally integrated economies reap the fruits of international economic co-operation. The co-operation comes in the form of trade agreements, investment treaties, standardization of commercial procedures, and so on. International co-operation also enables countries to harmonize their macroeconomic policies for their mutual benefits. This cooperation provides a good environment for the domestic companies to internationalize their operations.

11.2.4 Cases against Globalizations

Globalization is not a pure bundle of opportunities and benefits. It carries with it certain risks and threats. If these threats are not appropriately dealt with, it might create crises in the economy. These threats must be managed at the macroeconomic and microeconomic level.

- a) **Spread of international economic problems:** International economic crises like inflation, recession and currency depreciation tend to spread internationally among the globally-integrated countries, through various channels of international influence. The most glaring example is the economic recession of 2008-09 which started with the USA, spread almost to the entire world with varying degrees.
- b) **Greater income inequality:** As more and more competitiveness and technological upgradation takes place, unemployment tends to swell among low-skill categories of workers, and demand for high-skill workers tends to rise along with compensation. It might be difficult for the low skill workforce to acquire higher skills in the short run because of their limited learning abilities and inadequacy of training infrastructure. This might result in greater income inequality, poverty and social unrest.
- c) **Reduced Profits of Indian Companies:** Globalization increased competition in the Indian market between the foreign companies and domestic companies. With the foreign goods being better than the Indian goods, the consumers preferred to buy the foreign goods. This reduced the amount of profits of the Indian companies. This happened mainly in the pharmaceutical, manufacturing, chemical, consumer goods and steel industries.
- d) **Too Much Pressure on Companies:** Too much competition in the market leads to continuous pressure on raising productivity, enhancing consumer service, improving product quality, and improving marketing strategies by the companies in order to survive. Sometimes, inefficient units close down resulting in loss of jobs.
- e) **Consumerism:** Developing countries rightly fear that globalization would feed consumerism and retard domestic savings and capital accumulation. A country with a low per capita income cannot afford to let this happen.

- f) **Factor Mobility:** Globalization assumes unhindered international factor mobility. Developing countries feel that free capital mobility is not suitable for them because of their underdeveloped and weak financial systems. Developed countries are apprehensive that free labour mobility would mean a loss of jobs for their own citizens which may generate social tensions.
- g) **Technology Obsolescence:** In the face of global competition many Indian technologies became obsolete and demands for their products went down drastically or they disappeared from the market. Examples are like Lambretta scooter, Fiat/Ambassador car and Indian refrigerators/air conditioners etc.

Self Assessment Questions

Fill in the blanks:

1. Globalization is a process of development of the world into a _____ integrated economic unit.
2. Globalization is the term used to describe the process of removal of restrictions on _____ and _____.

State whether the following statements are true/false,

3. Along with globalization, foreign companies have entered into the developing countries. (True/ False)
4. Globalization is the outcome of free trade and lowering of tariffs. (True/ False)
5. Globalization involves no risk. (True/ False)
6. When competition levels becomes higher, there is an apprehension that inefficient units may close down. (True/ False)

11.3 Future of Globalization

It is believed that in spite of so many challenges and hurdles, the trend towards globalization will not only survive but will also gather momentum. It is sure to make progress, though at a slow pace and in a fluctuating way. The process of globalization possesses dynamism because of the following reasons:

- Growing productivity in developed countries is generating investible resources for which fresh investment avenues have to be found.

- The proportion of services in international trade and transactions is increasing, and human labour is also more willing to move across countries.
- People are looking for more meaningful and rewarding lifestyles which can be provided only by more consumerism.
- International movement of capital and investment has been facilitated by several developments. Mention may be made of an exponential growth of information technology, means of communication, consultancy services and the like.

11.3.1 Globalization in India

Till 1990s, the process of globalization of the Indian economy was constrained by the barriers of trade and investment. The gross failure of all closed economies to bring economic prosperity, and better quality of life, along with financial bankruptcy of India forced our government to adopt the new economic model. Liberalization of trade, investment and financial flows initiated during 1990s has progressively lowered the barriers of competition and hastened the pace of globalization. An array of reforms was initiated with regard to industrial, trade and social sector to make the economy more competitive. Indian economy was integrated into the global economy. Integration took place through financial flows; trade in goods and services and corporate investments between nations. The government has taken the following measures in order to globalize the Indian economy.

- Under the agreement with World Trade Organisation, India is committed to liberalize its trade. Consequently, the import tariffs were reduced to 15 per cent.
- As part of globalization policy, free flow of foreign technology to Indian industries is permitted. Indian firms can now enter into agreement with foreign firms of their choice for import of technology.
- Foreign direct investment is permitted now to enter, in an increasing number of industries. In addition to industries, infrastructural sectors like power generation, oil exploration, etc., have been opened to foreign investments. India is also offering incentives to NRIs (Non-Resident Indians) to invest in India.
- Allowing the Indian mutual funds to invest in foreign companies.

- Full convertibility of the rupee in the current account. It means allowing the rupee to determine its own exchange rate in the international market without official intervention.
- Acting cautiously regarding convertibility of rupee in the capital account in view of the Asian crisis.
- Lifting the quantitative restrictions (QRs) on 715 goods with effect from April 2001, in order to enhance the efficiency, quantity, product design and delivery, thus reducing prices.
- Seeking membership in trade blocs.

11.3.2 Achievements in India

India has achieved the following due to adoption of globalization.

- Unimaginable progress in modes of communication, transportation and computer technology have given the process a new lease of life.
- Many foreign companies have set up industries in India, especially in the pharmaceutical, BPO, petroleum, manufacturing, and chemical sectors and this has helped to provide employment to many people in the country.
- The highly advanced technology brought by them has helped to make Indian industries more technologically advanced. Moreover technical innovations have made life quite comfortable, fast and enjoyable.
- Earlier, the maximum part of the GDP (Gross Domestic Product) in the economy was generated from the primary sector but now the service industry is devoting the maximum part of the GDP.
- Infrastructure sectors have been opened to competition, such as telecommunications and civil aviation.
- Private sectors have proven to be extremely effective and growth of GDP has been on the increase from 5.6% during 1980-90 to 7% during 1993-2001 and 9.7% during 2007-08.
- Cities like Gurgaon, Bangalore, Hyderabad, Pune, and Ahmadabad have risen in prominence and have become centres of rising industries and destination for foreign investments.
- The Indian corporate sector learnt to withstand fierce competition from abroad and then took the battle to the most advanced countries.

- FDI shows a gradual upward growth from \$97 million in 1990-91 to \$3272 million in 2000-01 and again rising and touching a peak of \$ 8779 million in 2006-07.

Self Assessment Questions

Choose the correct answer from the given alternatives.

7. WTO stands for
 - a) World Trade Organisation.
 - b) World Transport Organisation.
 - c) World Tariff Organisation.
 - d) Women Teachers Organisation.
8. _____ means integrating the domestic economy with the world economy.
 - a) Privatization.
 - b) Liberalization.
 - c) Globalization.
 - d) Disinvestment.
9. Globalization has brought to the Indian Economy,
 - a) More Foreign Direct Investment
 - b) More growth in the GDP.
 - c) Progress in communication, transportation and information technology.
 - d) All of the above.

Activity

Find out some Indian multinational companies which have gone global successfully (i.e., Tatas, A.V. Group, IT giants like Wipro, Infosys etc, Ranbaxy, Dabur, Dr. Reddy's Lab) and make a presentation.

11.4 Organizations to facilitate globalization

There are many international organizations which have facilitated the process of globalization. We shall study three main organizations here. These are, International Monetary Fund (IMF), the World Bank, and the World Trade Organisation.

11.4.1 The International Monetary Fund

The International Monetary Fund (IMF) was organized in 1945 and commenced its operation in March, 1947. It was set up with the following objectives.

- a) The elimination or reduction of existing exchange controls.
- b) The establishment and maintenance of currency convertibility with stable exchange rate.
- c) The widest extension of multilateral trade and payments.
- d) Solving of short-term balance of payment problems faced by its member countries.

The Fund is an autonomous organization affiliated to the UNO. Starting from the initial membership of 29 countries at the time of inception, the Fund now has a membership of 187 countries. It is financed by the member countries. Each country's contribution is fixed in terms of quotas. Quotas are fixed on the basis of the national income of the countries concerned, gold and foreign exchange reserves, and share in the international trade. The quotas of all the countries taken together constitute the total financial resources of the Fund. Moreover, the contributed quota of a country determines its borrowing rights and voting strength.

Functions of the International Monetary Fund

The following are the main functions of the IMF.

- It provides short-term credit to the member countries.
- It provides the machinery for the orderly adjustment of exchange rates.
- It acts as a bank for all the member countries who can borrow the currency of the other nations.
- It is a sort of lending institution of foreign exchange. However, it grants loans for financing current transactions and not capital transactions.
- It also provides the machinery for international consultations.

11.4.2 The World Bank

The International Bank for Reconstruction and Development (IBRD) more popularly known as the World Bank was formed as part of the deliberations at Bretton Woods conference in 1945. The World Bank was constructed in order to give loans to member countries, initially for the reconstruction of their war-ravaged economies, and later for the development of the economies of the poorer member countries. It provides its member countries

long term investment loans on reasonable terms. In recent years, it has also been engaged in giving structural adjustment loans to the heavily indebted countries. The World Bank is an inter-governmental institution, corporate in form, whose capital stock is entirely owned by its member governments. All members of IBRD are members of IMF and vice-versa. The World Bank Group consists of, apart from the World Bank itself, the International Development Association (IDA), the International Finance Corporation (IFC), The Multi-lateral Investment Guarantee Agency (MIGA) and International Centre for Settlement of Investment Disputes. It emphasizes helping the poorest countries. The following are its objectives.

- A. Investing in people, particularly in health and education.
- B. Focusing on social development.
- C. Protecting the environment. The World Bank gives substantial financial assistance to those under-developed countries which are engaged in the task of environmental protection.
- D. Promoting reforms to create a stable macro- economic environment, conducive to investment and long-term planning.
- E. To encourage private investors to invest capital in undeveloped countries.
- F. To encourage international trade.

Functions of the World Bank

The main functions of the World Bank are:

- To help its member countries in the reconstruction and developmental work by facilitating the investment of capital for productive purposes.
- To encourage private foreign investment.
- To promote the long-term balanced growth of international trade and the maintenance of equilibrium in balance of payments of its member countries.

11.4.3 The World Trade Organisation

The World Trade Organization gave a real push to the process of globalization. It came into existence on 1st January, 1995. It is a powerful body which broadly aims at making the whole world a big village where there is free flow of goods and services and where there are no barriers to trade. It is the only global international organization which deals with the rules of trade between nations. At its heart are the WTO agreements,

negotiated and signed by the bulk of the world's trading nations and ratified in their parliaments. The following are the features of WTO.

- It is the main organ of implementing the Multilateral Trade Agreement.
- It is global in its membership. Its present membership is around 150 countries.
- For the first time, it brings into trade, service, intellectual property protection and investment.
- It administers a unified package of agreements to which all members are committed.
- It is a permanent institution. It settles the trade related disputes.

The WTO has the following functions.

- 1) It will facilitate the implementation, administration and operation of world trade agreements.
- 2) It will provide the forum for trade negotiations among its member countries and will monitor national trade policies.
- 3) It will provide technical assistance and training to developing countries.
- 4) With a view to achieving greater coherence in global economic policy making, the WTO will co-operate, with the IMF and IBRD and its affiliated agencies.

Self Assessment Questions

10. Match the following

A. WTO	I. Provides loans to address short-term balance of payment problems
B. RBI	II. Multilateral trade negotiating body
C. IMF	III. Facilitating lending and borrowing for reconstruction and development
D. IBRD	IV. Central Bank of India

11.5 Summary

Business crossing the national boundaries was always there in past. Of late, there has been a growing realization among countries of the significance of international competition. India is no exception. It has also embraced globalization, especially after the adoption of the new economic policy in 1991. Globalization broadly implies free movement of goods and services

and people across countries. The global corporations of today conduct their operations world-wide as if the whole world were a single market. Globalization can become very successful if the company has enough resources, i.e., improved technology, brand image, management expertise, product quality, global orientation and human resources. It also needs the host country's government support for its establishment.

Globalization can be extremely beneficial to both the home and the host countries. In the host country, it will improve the degree of competition, will generate more employment, more production, increase in the inflow of capital and updated technology into the country and will give a boost to the average growth rate of the country. In the home country it will bring more profits, more foreign exchange, and marketing avenues and so on.

Critics of globalization point out the risks involved in it. It may spread economic problems like, inflation, recession etc., internationally. Developed countries may lose jobs due to outsourcing. It may lead to closure of inefficient units which are not able to withstand the competition. Unskilled workers may become jobless due to more demand of skilled workers. The lesson is that a country must carefully choose a combination of policies that best enable it to take the opportunity- while avoiding the pitfalls.

It is still believed that in spite of so many challenges and hurdles, the trend of globalization will not only survive but will also gather momentum in the future. The exponential growth of information technology means of communication and transportation, consultancy services etc., will facilitate international movements of capital and investments.

In India, globalization started with the inception of the New Economic Policy in 1991. The Indian government has taken several measures for its promotion which has brought tremendous development in the economy. After globalization, India is beginning to shed its insular approach and is trying to become a global giant.

There are many international organizations which have facilitated the process of globalization. Chief among them are, the International Monetary Fund, the International Bank for Reconstruction and Development, and the World Bank.

11.6 Glossary

- **Globalization** – The process of integrating the domestic economy with the world economy.
- **Foreign Direct Investment** – An investment made by an investor of one country to acquire an asset in another country.
- **Free Trade** – A trade policy without any devices (like tariff or quota) obstructing the movements of goods between countries.
- **Tariff-Barrier** – A tariff is a tax levied on imports. It is synonymous with import duties or custom duties.
- **Quantitative Restrictions or Quotas** – These represent a ceiling on the volume of imports or exports.
- **Outsourcing** – It is a transaction through which one company acquires services from another, while maintaining ownership and ultimate responsibility for the process.
- **Home country and Host country** – Home country is the country where the multinational company belongs to. Host country is the country where the company operates its production, distribution and transactions.
- **Balance of Payment** – It refers to the yearly financial statement of a country for visible and invisible transactions with the rest of the world.
- **Bretton Woods Conference** – Preparing to rebuild the international economic system as World War II was still raging, 730 delegates from 44 Allied nations gathered at the Mount Washington Hotel in Bretton Woods Hampshire, US, for the United Nations Monetary and Financial Conference. The delegates deliberated upon and signed the Bretton Woods Agreements in July, 1944. The IMF and IBRD were both established in 1945.

11.7 Terminal Questions

1. What are the essential conditions under which globalization is possible?
2. Discuss the benefits that a country gets by adopting globalization.
3. What are the possible threats globalization can bring to a country?
4. Discuss the impact of globalization on the Indian economy.

11.8 Answers**Self Assessment Questions**

1. single
2. Foreign trade and investment
3. True
4. True
5. False
6. True
7. (i)
8. (iii)
9. (iv)
10. A- II , B- IV, C- I , D- III

Terminal Questions

1. Please refer to section 11.4.
2. Please refer to section 11.5.
3. Please refer to section 11.6.
4. Please refer to section 11.9.

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